

NJOMBE REGION
FORM SIK PRE MOCK
ECONOMICS ONE
MARKING GUIDE JULY 2026.
SECTION A.

1,

1.a) Economic goods: These are all these goods which are scarce that its quantity demand exceed quantity supply these goods has utility attract price and its ownership can be tranfere from one individual to another

b) necessity goods these are essential for survival for human being it include things such as food shelter and clothes

c) wants is anything that human being desire to have it it can be anything that people desire even if it is not necessary

d) utility tis iis satisfaction that is derived from consuming various quantities of goods and services (use value)

e) wealth is a value of all tangible and intangible assets ouwner by an individual, society or a county

2mark each point=10marks.

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2.Students are supposed to draw and label the diagrams accordingly.

a) competitive demand: This is type of demand that two commodity are substitute that one good can be demended instead of another

b) Jointly demand, These are those demand fir two goods that are used together to satisfy the human want

c) Composite demand: This is that type of demand that has multiple used

d} Derived demand,

Is the demand for goods that are not demanded for their final use.

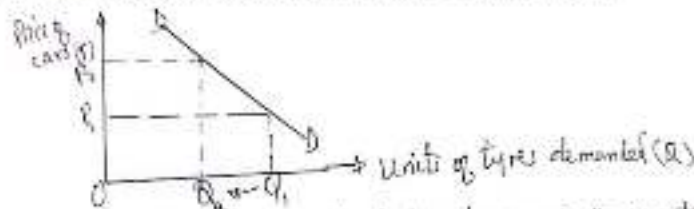
2Maks each point=10marks



The figure above shows that an increase in price of pencils causes an increase in the quantity demanded for paper.

b) Jointly demand,

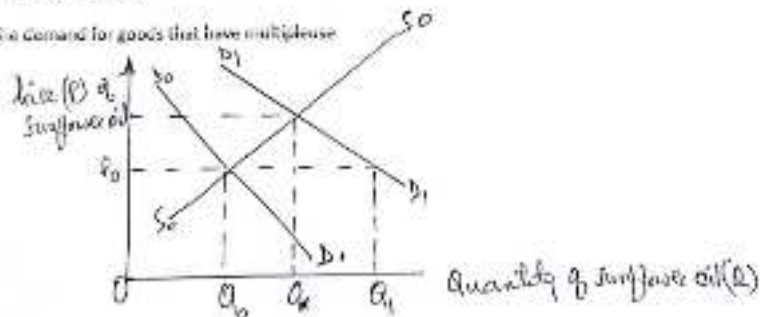
is the demand for two goods that are used together (jointly) to satisfy the same want.



A rise in price of cars leads to a decrease in the quantity demanded for tires.

c) Composite demand,

is the demand for goods that have multiple use.



d) Derived demand,

is the demand for goods that are not demanded for their final use.

.....2marks each point=10marks

3. (a) the average product of labor (APs) is determined by dividing the total output by L

$$AP, =Q/L=12U-0.8/L...$$

.0.5mark

$$AP = 12L - 0.8L \quad 0.5\text{mark}$$

The marginal! product of labor (MP) is determined by the first derivative of output with respect to labor,

$$M=dq/dL=24L-2.4L$$

$$MPL=24L-2.4L^2$$

Therefore,

$$MP=24L-2.4L^2$$

(b) The value of labor that maximizes output can be obtained by equating marginal product function to zero,

$$MP.=24L-2.4L^2$$

$$O=24L-2.4L^2$$

$$O/L = (24-2.4L) L/L$$

$$0=24-2.4L$$

$$2.4L=24$$

$$L=10$$

Therefore the value of labor that maximizes output Is 10 units. ...1.5marks

(C) The value of average product will be maximized where it Is first derivative equal zero, therefore the

value of labor at which AP is at maximum is determined by equating the fist derivative of the AP

function to zero $AP /AL=12-1.6L$ " 0.5mark

$$12-1.6L=0$$

$$12=1.6L$$

Divide by 1.6 both sides

$$L=7.5$$

$$=8\text{units}$$

Therefore, the value of labor at which average product Is at maximum Is 8 units.....1.5marks

$$\Delta AP_i / \Delta L = 12 - 1.6L \quad \dots\dots\dots 0.5 \text{ mark}$$

$$12 - 1.6L = 0$$

$$12 = 1.6L$$

$$\text{Divide by 1.6 both sides} \quad \dots\dots\dots 0.5 \text{ mark}$$

$$L = 7.5$$

$$= 8 \text{ units}$$

Therefore, the value of labor at which average product is at maximum is 8 units. $\dots\dots\dots 1.5 \text{ marks}$

(d) The average product and marginal product by using the value of labor that maximizes output can be obtained by substituting the value of labor in the marginal product and average product functions,

$$AP_i = 12L - 0.8L^2$$

$$AP_i = 12(10) - 0.8(10)^2 \quad \dots\dots\dots 0.5 \text{ mark}$$

$$AP_i = 120 - 80$$

$$AP_i = 40$$

And

$$MP_i = 24L - 2.4L^2$$

$$MP_i = 24(10) - 2.4(10)^2 \quad \dots\dots\dots 0.5 \text{ mark}$$

$$MP_i = 0$$

Therefore the AP determined using the value of labor that maximizes output is 40 units and marginal product [MP] is 0 units. $\dots\dots\dots 1.5 \text{ marks}$

4.

The students are supposed to mention and explain the factors that influence location of industries.

i/ adequate supply of raw materials

ii/ transport cost of final products

iii/ availability of financial services

iv/ states of infrastructures

v/ attractive geographical conditions

4. The students are supposed to mention and explain the factors that influence location of industries.

- i/ adequate supply of raw materials
- ii/ transport cost of final products
- iii/ availability of financial services
- iv/ states of infrastructures
- v/attractive geographical conditions
- vi/ existence of economies of scale
- viii/ availability of social services

5 The students should explain the factors for the rise of monopoly market such as,

- i/ patent right
- ii/ control all raw materials
- iii/ grant of exclusive legal right
- iv/ natural monopoly (economies of scales)
- v/ control of entry of new firms
- vi/ government owned and regulated monopolies.

Introduction... ..01mark

Main body03marks each point=18marks

Conclusion01mark

6. Student should explain factors that distinguish economy which are

- i. Ownership of major means of production
- ii. Decision making
- iii. Social relationship
- iv. Motive of production
- v. Price determination
- vi. Level of competition

-Introduction 1 mark

-Six points @ 3marks

-Conclusion 01mark

7. Student should explain the importance of studying elasticity which are

- i. Used to develop price policy
- ii. Used in designing tax
- iii. Used to design foreign trade policy
- iv. Used in wage determination
- v. Used in devaluation of currency

- vi. Used in price discrimination
- vii. Used by producer to decide what to produce
 - Help Government to determine policy to adopt

-Introduction 1 mark

-Six points @ 3marks

-Conclusion 1 mark

Conclusion 01mark

7.

Six points to justify why private sector is inefficient in providing public goods.

i/ public goods are non-excludable

ii/ free-rider problem

iii/ low profit motive

iv/ high cost of provision

v/ difficulty in charging users

vi/ risk of under-provision

Introduction 01mark

Main body 03marks each point=10marks

Conclusion 01mark

8.

The law of diminishing returns states that when more units of a variable input (such as labor or fertilizer) are added to a fixed input (such as land) the additional output eventually begins to decrease.

Reasons are as follows

i/ land is fixed in supply

ii/ dependence on natural factors

iii/ limited possibility of dividing land efficiently

iv/ biological limits of crops and livestock

v/ difficulty in mechanizing all farming activities

vi/ declining soil fertility

Introduction 01mark

Main body 03marks each point=10marks